

- a. I tend to look primarily at a manager's track record, comparing his or her performance to some relevant benchmark. I don't concern myself with the strategy that the manager employs. The results that a manager achieves are most important. If returns impress me, then I will select that manager; if I see a mediocre history, I'll pass.
- b. I look at the returns, which are important, but I also look at the manager's strategy and try to determine what the manager was doing during the time frame I'm examining. In the case of the value manager, I will look, for example, at 2002—the manager was probably down, but by how much? Which companies did the manager invest in at the time? Evidence of a sound strategy makes me more likely to select this money manager.

## Test Results Analysis

**Questions 1, 2, and 3:** Hindsight bias is a difficult bias to measure because people are rarely aware that they harbor it. So, few are likely to take a test like this and effectively respond: "Yes, I am susceptible to 'I-knew-it-all-along' behavior." Even people with reason to believe, objectively, that they might suffer from hindsight bias are unlikely to admit it to themselves. So, this diagnostic test looks for clues that might indicate *symptoms* of potential hindsight bias. For each item, respondents identifying with the rationale in "a" should be aware that they exhibit such symptoms and that they may suffer from hindsight bias.

## ADVICE

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In order to overcome hindsight bias, it is necessary, as with most biases, for the investors to understand and admit their susceptibility. Advisors should get their clients to understand that they are vulnerable and they counsel them on addressing specific problems that might arise. Here are some thoughts to help clients better deal with hindsight bias:

*"Rewriting history"—predicting gains.* When a client overestimates the degree to which some positive investment outcome was foreseeable, and you suspect this is due to hindsight bias, the best course of action is to gently point to the facts. Storytelling is a strategy that might help communicate your point without offending the client. You might make reference, for example, to the collapse of